GradientCIO

INVESTMENT DUE DILIGENCE

Northstar Growth Fund III PME

Commitment cash-flow performance versus public markets

REVIEW
Commitment PME

FUND
Northstar Growth Fund III

PREPARED FOR
Investment Committee

DATA AS OF
2025-12-31

Confidential — private markets review
Illustrative sample · not client data

1 Executive conclusion

Both returned PME paths exceed one, with most value still unrealized

Key judgment — Relative result

Observation: Primary and sensitivity KS-PME were 1.08x and 1.03x S6 S7. Why it matters: Both returned paths finished above public-market parity. Uncertainty: Sensitivity evidence is limited to a 0.03x margin over parity. What would change the view: Either governed KS-PME path falling to 1.00x or below.

Key judgment — Direct alpha

Observation: Direct alpha was +1.9% primary and +0.8% sensitivity S6 S7. Why it matters: Both server runs indicate positive annualized relative value. Uncertainty: The selected pair excludes benchmarks outside the returned catalog choices. What would change the view: A returned direct-alpha estimate at or below 0.0%.

Key judgment — Cash-flow context

Observation: Net IRR was 12.6% and TVPI was 1.41x, including 0.75x RVPI S6. Why it matters: More value remains unrealized than distributed. Uncertainty: Holdings context is not a PME input. What would change the view: Audited cash flows reducing TVPI by at least 0.10x.

2 Cash-flow and benchmark coverage

Canonical commitment identity supports one benchmark path

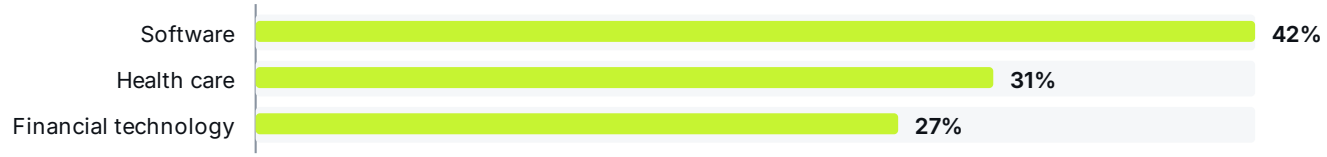
Canonical portfolio and commitment	**Available**	Portfolio 10000000-0000-4000-8000-000000000001 and commitment 60000000-0000-4000-8000-000000000001 resolved S1 S2.
Primary benchmark session	**Available**	Benchmark b0000000-0000-0000-0000-000000000001 produced an available server session S4 S5.
Sensitivity benchmark session	**Available**	Benchmark b0000000-0000-0000-0000-000000000002 produced a distinct server result S4 S7.
Holdings and ILPA context	**Partly available**	15 of 18 portfolio companies matched returned ILPA detail; these values were not calculator inputs S3.

CONTEXT ONLY — NOT A PME INPUT · LARGEST REPORTED HOLDINGS [S3]



Reported holdings context; no value enters the PME calculator S3.

CONTEXT ONLY — NOT A PME INPUT · SECTOR MIX [S3]



Returned holdings classification, shown only as context S3.

CONTEXT ONLY — NOT A PME INPUT · GEOGRAPHY MIX [S3]

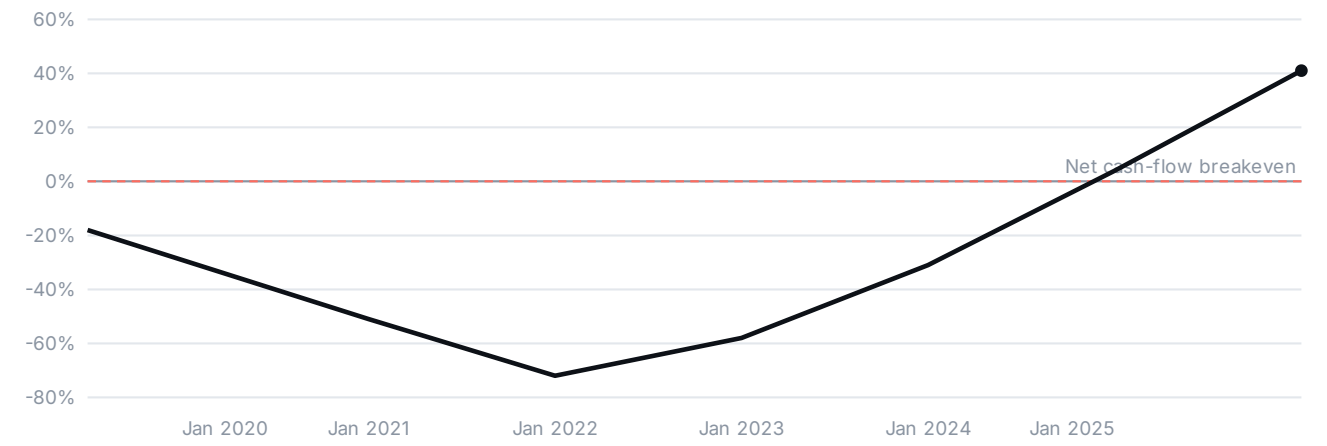


Returned holdings geography, shown only as context S3.

3 PME and direct alpha

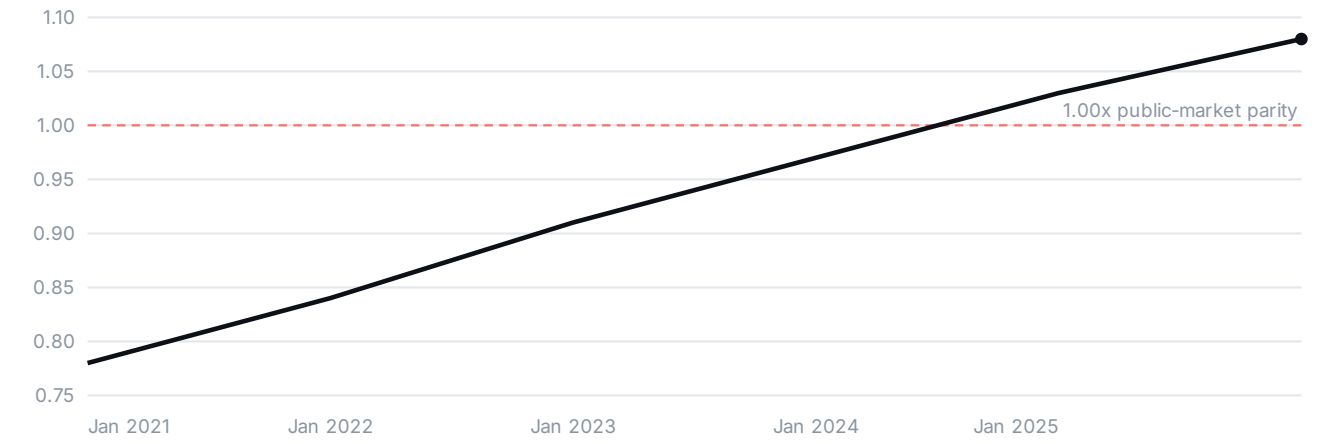
Cash-flow and public-market paths both finish above parity

J-CURVE CASH-FLOW PATH · 2019-06-30 TO 2025-12-31 [S6]



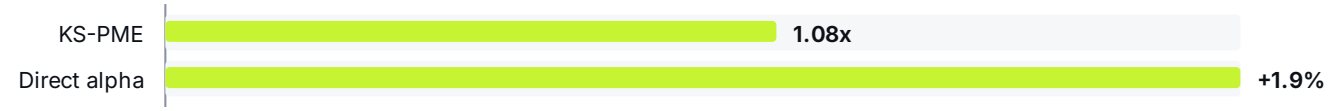
Returned cash_flow_series values; no local interpolation S6.

PME PATH · PRIMARY KS-PME THROUGH 2025-12-31 [S6]



Server-returned PME path against the primary benchmark S6.

PRIMARY PUBLIC-MARKET-EQUIVALENT RESULT



Server-returned primary benchmark results through 2025-12-31 S6.

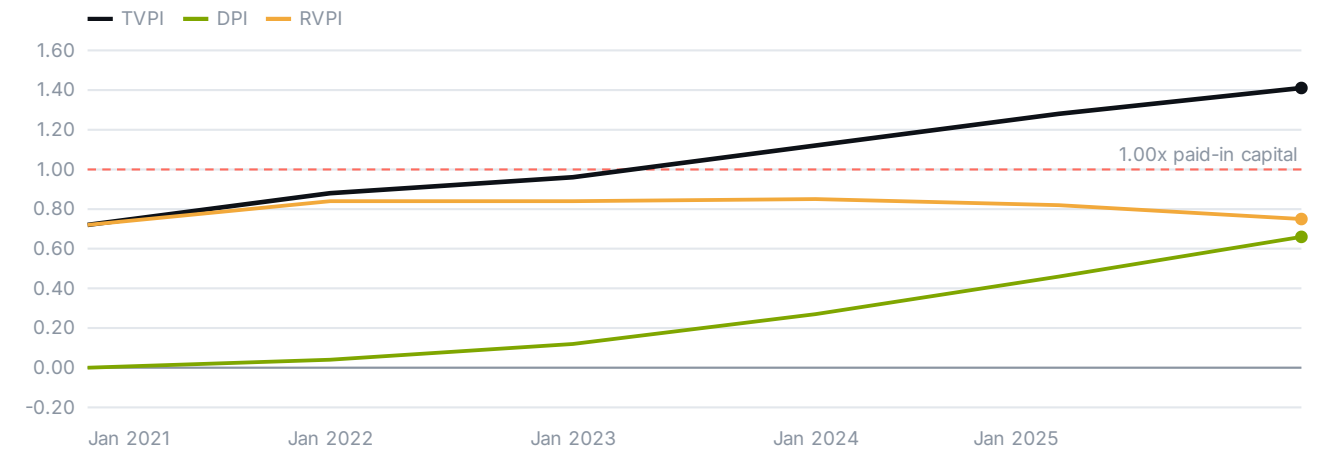
Analysis — Primary PME result

Observation: KS-PME ended at 1.08x and direct alpha at +1.9% S6. Why it matters: Both returned relative measures are positive. Uncertainty: Persistence evidence is limited because PME stayed below parity through 2023. What would change the view: A governed refresh at or below 1.00x KS-PME.

4 IRR and multiple context

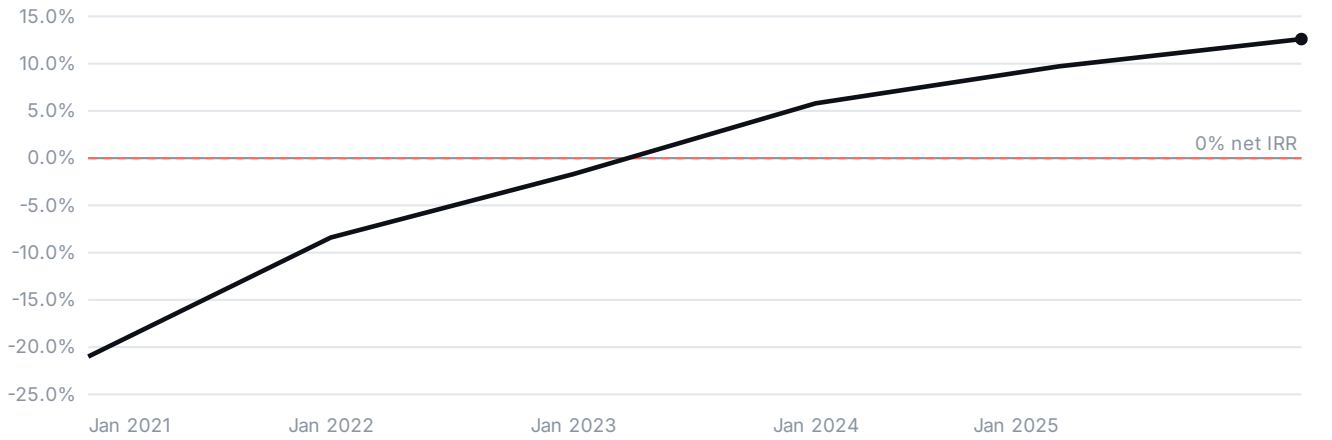
TVPI crossed 1.0x before net IRR reached 12.6%

FUND MULTIPLES PATH · TVPI, DPI AND RVPI [S6]



Returned cash_flow_series multiple path with the 1.00x reference line S6.

NET IRR PATH · 2020-12-31 TO 2025-12-31 [S6]



Server-returned net IRR path; no locally solved cash-flow metric S6.

RETURNED FUND METRICS



PME-tool outputs; holdings and ILPA values are excluded from these calculator metrics S3 S6.

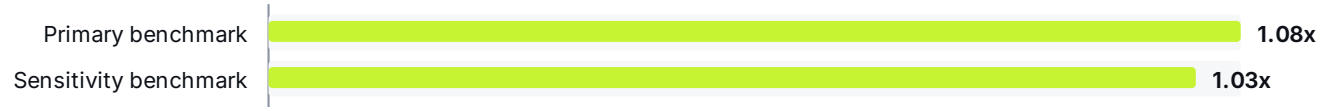
Analysis — Realized and residual value

Observation: Net IRR was 12.6%, while 0.75x RVPI exceeded 0.66x DPI S6. Why it matters: More value remains unrealized than distributed. Uncertainty: The result depends on reported residual NAV. What would change the view: Audited cash flows shifting TVPI by at least 0.10x.

5 Benchmark sensitivity

Both separately built paths remain above parity

KS-PME BY BENCHMARK PATH



Two distinct server sessions using the same canonical commitment S6 S7.

PRIMARY AND SENSITIVITY BENCHMARK RESULTS

PATH	BENCHMARK	BENCHMARK_WINDOW_RETURN	KS-PME	DIRECT ALPHA	SOURCE
Primary	Northstar Public Growth Index	62.0%	1.08x	+1.9%	S6
Sensitivity	Northstar Broad Equity Index	54.0%	1.03x	+0.8%	S7

benchmark_window_return values are copied from each server response, not recomputed S6 S7.

Analysis — Benchmark dependence

Observation: KS-PME narrowed from 1.08x to 1.03x as benchmark_window_return moved from 62.0% to 54.0% S6 S7. Why it matters: The positive verdict survives the selected alternate basis. Uncertainty: Benchmark breadth is limited to two returned paths and a 0.03x floor. What would change the view: A governed sensitivity KS-PME at or below 1.00x.

6 Limitations and follow-ups

Benchmark breadth, residual NAV and holdings mapping bound the conclusion

- Two returned benchmark paths do not span every public-market opportunity cost S4 S6 S7.
- The 0.75x RVPI remains dependent on reported residual NAV rather than realized distributions S6.
- Three of 18 holdings lack matched ILPA company detail; holdings are context only S3.

01 **Can audited cash flows confirm the returned 12.6% net IRR and 1.41x TVPI?**
The verdict depends on the server-returned cash-flow series and residual NAV S6.

02 **Can the next audited cash-flow package resolve the three unmatched ILPA company records?**
The holdings context is partial even though it remains separate from PME inputs S3.

03 **Would a mandate-approved third benchmark materially widen the PME range?**
The current range reflects only the two returned catalog selections S4 S6 S7.

A Appendix — Sources and methods

Saved illustrative commitment, benchmark, builder and PME evidence

Based on 7 of 7 evidence areas.

TAG	EVIDENCE	SOURCE	AS OF	CHECK
S1	Canonical portfolio	list_portfolios	2025-12-31	Passed
S2	Canonical commitment	get_portfolio_exposure	2025-12-31	Passed
S3	Holdings and ILPA context	get_private_markets_holdings	2025-12-31	Partly available
S4	Primary and sensitivity benchmark identities	get_benchmarks	2025-12-31	Passed
S5	Primary commitment-scoped session	build_strategy_lab_session	2025-12-31	Passed
S6	Primary PME metrics	run_strategy_lab_private_markets_pme	2025-12-31	Passed
S7	Sensitivity PME metrics	run_strategy_lab_private_markets_pme	2025-12-31	Passed

Illustrative, Gradient Maintained — demo data, not the client's holdings or managers. All organizations, portfolios, managers and results in this public example are illustrative.

SOURCE AUDIT TRAIL

TAG	KEY PARAMETERS	DATA SCOPE	DIGEST
S1	portfolio_id=10000000-0000-4000-8000-000000000001	sample portfolio	sha256:1111111111111111111111111111111111111111111111111111111111111111
S2	commitment_id=60000000-0000-4000-8000-000000000001	sample commitment	sha256:2222222222222222222222222222222222222222222222222222222222222222
S3	portfolio_id=10000000-0000-4000-8000-000000000001; commitment_id=60000000-0000-4000-8000-000000000001	Context only — not a PME input	sha256:3333333333333333333333333333333333333333333333333333333333333333
S4	benchmark_ids=b0000000-0000-0000-0000-000000000001,b0000000-0000-0000-0000-000000000002	sample catalog	sha256:4444444444444444444444444444444444444444444444444444444444444444
S5	domain=private-markets-pme; benchmark_id=b0000000-0000-0000-0000-000000000001	Primary builder call	sha256:5555555555555555555555555555555555555555555555555555555555555555
S6	session=primary; benchmark_id=b0000000-0000-0000-0000-000000000001	Server-computed PME evidence	sha256:6666666666666666666666666666666666666666666666666666666666666666
S7	session=sensitivity; benchmark_id=b0000000-0000-0000-0000-000000000002	Server-computed PME evidence	sha256:7777777777777777777777777777777777777777777777777777777777777777

Each digest is the SHA-256 fingerprint of the exact data the report used.

SERIES VIEW LINEAGE

SOURCE TAG	VIEW	PAYLOAD DIGEST
S3	holdings_reported_value	sha256:eeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeeee
S3	holdings_sector	sha256:ffffffffffffffffffffffffffffffffffffffffffffffffffffffffffffffff
S3	holdings_geography	sha256:0000000000000000000000000000000000000000000000000000000000000000
S6	cash_flow_series	sha256:aaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaaa
S6	pme_series	sha256:bbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbbb
S6	pme_summary	sha256:1111111111111111111111111111111111111111111111111111111111111111
S6	multiples_series	sha256:cccccccccccccccccccccccccccccccccccccccccccccccccccccccccccccccc
S6	irr_series	sha256:dddddddddddddddddddddddddddddddddddddddddddddddddddddddddddddddd
S6	fund_metric_summary	sha256:3333333333333333333333333333333333333333333333333333333333333333
S6	benchmark_sensitivity_primary	sha256:1111111111111111111111111111111111111111111111111111111111111111
S7	benchmark_sensitivity_alternate	sha256:2222222222222222222222222222222222222222222222222222222222222222